

**UNITED STATES INTERNATIONAL TRADE COMMISSION
WASHINGTON, DC**

IN THE MATTER OF

**CERTAIN DYNAMIC RANDOM
ACCESS MEMORY (DRAM) DEVICES,
PRODUCTS CONTAINING THE SAME,
AND COMPONENTS THEREOF (III)**

Investigation No. 337-TA-3930

PROPOSED RESPONDENT HEWLETT PACKARD ENTERPRISE CO.'S
PUBLIC INTEREST STATEMENT

Proposed Respondent Hewlett Packard Enterprise Co. (“HPE”) respectfully submits this response to the U.S. International Trade Commission’s solicitation of comments relating to the public interest in the above-captioned matter. *See* 91 FED. REG. 53,278-79 (Aug. 17, 2026). Complainant Netlist, Inc. (“Netlist”) seeks to exclude DDR5 generation Dual In-line Memory Module (“DIMM”) technology vital to developing modern data centers and advancing both high-performance computing (“HPC”) and artificial intelligence (“AI”) in the United States. These uses of the accused technology already have strained the supply chain, which would be significantly exacerbated by Netlist’s requested relief. Moreover, “sustain[ing] and enhanc[ing] America’s global AI dominance” is not just “the policy of the United States,”¹ it is a “national security imperative.”² The relief sought by Netlist, therefore, raises serious public interest concerns.

HPE is an American company that embodies domestic innovation. Headquartered in Spring, Texas, HPE has a worldwide portfolio of approximately 21,000 issued and pending patents. HPE also has over 13,750 U.S.-based employees, making it one of the country’s largest high-technology employers. HPE’s customers include businesses of all sizes, state governments, law enforcement agencies, and public and private entities in the health and education sectors.

HPE’s products include servers for a variety of enterprise, data center, HPC, and AI applications. Many of these servers include DDR5 DIMMs. HPE primarily relies on Micron, SK hynix, and Samsung to supply these modules. There are no other major suppliers. Exclusion of Micron’s products would therefore impact supply and diminish competition in the market.

HPE already has been directly affected by the worldwide shortage in memory components that began to impact the semiconductor industry in the first half of fiscal year 2026, primarily due

¹ Exec. Order No. 14179, 90 Fed. Reg. 8741 (Jan. 31, 2025).

² The White House, *Winning the Race: America’s AI Action Plan* (July 2025), <https://www.whitehouse.gov/wp-content/uploads/2025/07/Americas-AI-Action-Plan.pdf>.

to the accelerating growth in AI usage and the related rapid expansion in AI data centers and compute refresh cycles.³ In the first half of fiscal year 2026, HPE experienced supply chain constraints due to these component shortages and expects such dynamics to continue in the medium term as memory supply constraints may continue until memory vendors transition greater production allocations toward high performance memory components required by AI. *Id.*

HPE therefore respectfully requests that the Commission **not** institute an investigation or, in the alternative, delegate consideration of the public-interest factors pursuant to 19 C.F.R. § 210.50(b)(1) as it did under similar circumstances in **both** predecessor investigations.⁴

I. HOW THE ACCUSED PRODUCTS ARE USED IN THE UNITED STATES

The Accused Products—specifically, Micron DDR5 DIMMs—are used in servers, including certain HPE servers, that support HPC (*e.g.*, scientific simulations, high-frequency trading, quantum AI research, etc.), AI training and inference at scale (*e.g.*, large-scale AI models, large language models (“LLMs”), and deep learning), cloud computing, and fifth generation of mobile cellular network technology (“5G”). These servers are used in virtually every sector of the U.S. economy, including those that implicate important health and welfare needs, such as “energy efficient automobiles, basic scientific research, [and] hospital equipment.”⁵ *Spansion, Inc. v. Int’l*

³ June 2026 HPE Quarterly Report at 41, https://otp.tools.investis.com/clients/us/hp_enterprise1/SEC/sec-show.aspx?Type=html&FilingId=19504123&CIK=0001645590&Index=10000.

⁴ See *Certain DRAM Devices, Products Containing the Same, and Components Thereof (I)*, Inv. No. 337-TA-1472, Comm’n Notice at 2 (Dec. 29, 2025) (EDIS Doc ID 867533); *Certain DRAM Devices, Products Containing the Same, and Components Thereof (II)*, Inv. No. 337-TA-1511, Comm’n Notice at 2 (Jul. 15, 2026) (EDIS Doc ID 888137).

⁵ See, *e.g.*, Gary Hilson, *Micron Readies for Level 5 Autonomy with LPDDR5 DRAM*, EE Times (June 21, 2022), <https://www.eetimes.com/micron-readies-for-level-5-autonomy-with-lpddr5-dram/>; *OSC to Launch Cardinal, Major New Supercomputing Cluster, in 2024*, Ohio Supercomputer Center (Nov. 13, 2023), https://www.osc.edu/press/osc_to_launch_cardinal_major_new_supercomputing_cluster_in_2024; *DDR5 Application in Medical Imaging Data Processing*, Eureka (Sept. 17, 2025), <https://eureka.patsnap.com/report-ddr5-application-in-medical-imaging-data-processing>.

Trade Comm’n, 629 F.3d 1331, 1360 (Fed. Cir. 2010).

II. PUBLIC HEALTH, SAFETY, AND WELFARE CONCERNS

DDR5 DIMMs materially benefit the public health and welfare because they facilitate the processing of the ever-increasing amount of data that needs to be moved, stored, and processed in this new era of HPC and AI. Advances in medical treatment, diagnostics, and cancer research depend on the capabilities of DDR5 DIMMs.⁶ So do modern data centers, which store, process, and distribute data in every major sector of the U.S. economy, including financial services, healthcare, agriculture, energy, and government.⁷

In turn, preserving U.S. leadership in AI and data center development is among the current Administration’s top priorities. Executive Order 14179 declares that “[i]t is the policy of the United States to sustain and enhance America’s global AI dominance in order to promote human flourishing, economic competitiveness, and national security.”⁸ “America’s AI Action Plan” also makes clear that AI is critical to the nation’s future, warning that losing the AI race is a national security concern, as the nation risks falling behind the rest of the world in a range of these sectors.⁹ AI, and the data centers that support it, are therefore integral to public health, safety, and welfare.

Netlist’s requested relief undermines the Administration’s goals by removing a significant market supply for DDR5 DIMMs, causing shortages in the rapid build-out of AI and cloud data

⁶ See, e.g., *New Notre Dame HPC: EPYC™ CPU Performance and Low Latency*, Advanced Micro Devices, Inc. (2018), <https://www.amd.com/content/dam/amd/en/documents/resources/case-studies/Notre-Dame-Case-Study.pdf>; *Medical Imaging*, *supra* n.5.

⁷ *The Cost of Compute: A \$7 Trillion Race to Scale Data Centers*, McKinsey Quarterly (Apr. 28, 2025), <https://www.mckinsey.com/industries/technology-media-and-telecommunications/our-insights/the-cost-of-compute-a-7-trillion-dollar-race-to-scale-data-centers>.

⁸ Exec. Order No. 14179, *supra* n.1.

⁹ See *Winning the Race*, *supra* n.2; see also P. Smith-Goodson et al., *The Stargate Project: Trump Touts \$500 Billion Bid for AI Dominance*, *Forbes* (Jan. 30, 2025), <https://www.forbes.com/sites/moorinsights/2025/01/30/the-stargate-project-trump-touts-500-billion-bid-for-ai-dominance/>.

centers. It also could create cascading operational failures across sectors vital to public health and welfare, degrading the continuity, reliability, and availability of services that millions of Americans depend on daily.

III. AVAILABILITY OF LIKE OR DIRECTLY COMPETITIVE ARTICLES

Netlist's requested relief would create a supply gap that Netlist and its licensees cannot fill. Using DRAM market share as a proxy, three manufacturers make up nearly 90% of the global market for DDR5 DIMMs.¹⁰ As of Q1 2026, Samsung held 38% of the market, SK hynix held 29%, and Micron held 22%, while Netlist and the "several [other] alternative suppliers" identified by Netlist collectively held less than 1%. *See* Netlist PI Statement, at 4.¹¹ Netlist provides no evidence to back its implausible suggestion that it, SK hynix, and Samsung could replace the entirety of Micron's significant market share, much less that it could be done in a reasonable amount of time.¹² To the contrary, both SK hynix and Samsung already report significant capacity constraints. Samsung states that accelerating demand for server DRAM will leave the memory market "undersupplied" through the second half of 2026 and that "supply constraints are expected to continue" notwithstanding its efforts to increase production.¹³ SK hynix likewise states that existing customer demand exceeds its production capacity and expects that condition to persist for years.¹⁴ Replacing production equivalent to Micron's share would, as an order-of-magnitude

¹⁰ *See Global DRAM Market Share by Revenue (Q1'25 – Q1'26)*, Counterpoint (Jun. 8, 2026), <https://counterpointresearch.com/en/insights/global-dram-and-hbm-market-share>.

¹¹ *See Global DRAM Market*, *supra* n.10.

¹² Similarly, ASUS's servers are not suitable substitutes for HPE's ProLiant servers, as Netlist alleges (Netlist PI Statement, at 4), because they lack HPE's established enterprise server ecosystem, including its integrated management, security, service, and support infrastructure, on which large enterprise customers depend.

¹³ *Samsung Electronics Announces Second Quarter 2026 Results*, Samsung News (Jul. 30, 2026), <https://news.samsung.com/global/samsung-electronics-announces-second-quarter-2026-results>.

¹⁴ *See* David Odejide, *SK hynix sells out its DRAM, NAND, and HBM chip supply to Nvidia through 2026 as AI demand outpaces Samsung and Micron's capacity*, NotebookCheck (Oct. 30, 2025), <https://www.notebookcheck.net/SK-hynix-sells-out-its-DRAM-NAND-and-HBM-chip>.

matter, require Samsung and SK hynix to increase their combined production by nearly 40%—at a time when their existing capacity is already constrained. And meaningful new fabrication capacity requires years, not weeks or months, to bring online.¹⁵ Thus, even assuming Samsung and SK hynix eventually could increase their production, they could not replace Micron’s volumes sufficiently quickly to prevent substantial near-term supply disruption.

IV. COMPETITIVE CONDITIONS/IMPACT OF REQUESTED RELIEF ON U.S. CONSUMERS

Netlist’s requested relief would remove one of the three biggest manufacturers of DDR5 DIMMs. At the same time, DRAM contract prices increased approximately 93–98% quarter-over-quarter in the first quarter of 2026 and are projected to rise another 13–18% in the third quarter of 2026, with suppliers potentially increasing quotations further because the market remains undersupplied.¹⁶ Removing Micron from the market would cause those prices to increase even more. Thus, Netlist’s requested relief would have a significant effect on U.S. consumers.

An exclusion order would also cause direct harm to U.S. workers and domestic operations. HPE maintains significant U.S. operations in Chippewa Falls, Wisconsin and Puerto Rico, where skilled employees support operations that depend on a reliable supply of DDR5 DIMMs. An exclusion order that interrupts HPE’s ability to obtain those DIMMs would therefore have consequences extending well beyond the imported components themselves: it would reduce the work available to its U.S. workforce and place American jobs at risk. The public interest weighs against a remedy that would idle skilled U.S. workers.

[supply-to-Nvidia-through-2026-as-AI-demand-outpaces-Samsung-and-Micron-s-capacity.1151402.0.html](https://www.gao.gov/assets/540/540115/540115.pdf).

¹⁵ U.S. Gov’t Accountability Off., *Semiconductors: Information on Projects Funded to Strengthen U.S. Supply Chain*, GAO-26-107882 (Dec. 11, 2025), <https://files.gao.gov/reports/GAO-26-107882/index.html>.

¹⁶ *Rapid Contract Price Surge Drives 1Q26 DRAM Industry Up 81% QoQ*, TrendForce (Jun. 1, 2026), <https://www.trendforce.com/presscenter/news/20260601-13070.html>.

Dated: August 25, 2026

/s/ Thomas C. Martin

Katharine M. Burke

Thomas C. Martin

BAKER BOTTS L.L.P.

700 K Street, NW

Washington, DC 20001

Phone: 202.639.7700

Email: Tommy.Martin@BakerBotts.com

Attorneys for Proposed Respondent

Hewlett Packard Enterprise Co.

CERTIFICATE OF SERVICE

I hereby certify that on August 25, 2026, a copy of the foregoing was filed/served upon the following:

The Honorable Lisa R. Barton Secretary to the Commission U.S. INTERNATIONAL TRADE COMMISSION 500 E Street, SW, Room 112 Washington, DC 20436	☐ Via First Class Mail ☐ Via Hand Delivery ☐ Via Overnight Courier ☐ Via Electronic Mail ☒ Via EDIS
Counsel for Complainant Netlist, Inc. Kevin C. Wheeler Michael David LATHAM & WATKINS LLP 555 11th St. NW, Suite 1000 Washington, D.C. 20004-1304 T: (202) 637-2200 kevin.wheeler@lw.com michael.david@lw.com Charles H. Sanders Kimberly Q. Li LATHAM & WATKINS LLP 200 Clarendon Street Boston, MA 02116 T: (617) 948-6000 charles.sanders@lw.com kimberly.li@lw.com Blake R. Davis LATHAM & WATKINS LLP 505 Montgomery Street, Suite 2000 San Francisco, CA 94111 T: (415) 391-0600 blake.davis@lw.com Jason G. Sheasby Lisa S. Glasser Andrew J. Strabone H. Annita Zhong, PhD IRELL & MANELLA LLP 1800 Avenue of the Stars, Suite 900 Los Angeles, CA 90067 T: (310) 277-1010 jsheasby@irell.com	☐ Via First Class Mail ☐ Via Hand Delivery ☐ Via Overnight Courier ☒ Via Electronic Mail ☐ Via EDIS

lglasser@irell.com astrabone@irell.com hzhong@irell.com Daniel E. Yonan Donald R. Banowit STERNE, KESSLER, GOLDSTEIN & FOX PLLC 1101 K Street NW, 10th Floor Washington DC 20005 T: (202) 371-2600 dyanan@sternekessler.com dbanowit@sternekessler.com	
Counsel for Respondent Micron Semiconductor Products, Inc. and Micron Technology, Inc. Ryan B. McCrum JONES DAY 901 Lakeside Ave E. Cleveland, OH 44114 Telephone: (216) 879-3939 rbmccrum@jonesday.com	☐ Via First Class Mail ☐ Via Hand Delivery ☐ Via Overnight Courier ☒ Via Electronic Mail ☐ Via EDIS
Respondent Lenovo Group Ltd Lincoln House, 23rd Floor Taikoo Place, 979 King's Road, Quarry Bay, Hong Kong	☐ Via First Class Mail ☐ Via Hand Delivery ☐ Via Electronic Mail ☒ Via Overnight Carrier ☐ Via EDIS
Respondent Lenovo (United States) Inc. 8001 Development Drive Morrisville, North Carolina 27560	☐ Via First Class Mail ☐ Via Hand Delivery ☐ Via Electronic Mail ☒ Via Overnight Carrier ☐ Via EDIS
Respondent Super Micro Computer, Inc. 980 Rock Ave. San Jose, California 95131	☐ Via First Class Mail ☐ Via Hand Delivery ☐ Via Electronic Mail ☒ Via Overnight Carrier ☐ Via EDIS

/s/ Steven M. Liquori
Steven M. Liquori
Lead Senior IP Litigation Paralegal